

CITATION: Brookstreet v. Economical, 2018 ONSC 80

OSHAWA COURT FILE NO.: CV-17-1547

DATE: 20180103

CORRIGENDA: 20180110

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: Brookstreet Hotel Corporation and Kanata Research Park Corporation, Applicants

AND:

Economical Mutual Insurance Company and Thunderbolt Contracting Limited,
Respondents

BEFORE: Justice J. Di Luca

COUNSEL: D. Ong and C. Scotchmer, Counsel for the Applicants

M. Snowden and P. Rombis, Counsel for the Respondent, Economical Mutual
Insurance

J. Chadwick, Counsel for the Respondent, Thunderbolt Contracting Limited

HEARD: November 16, 2017

REVISED ENDORSEMENT

**The text of the original endorsement has been corrected with the text of corrigendum
(released today's date)**

- [1] Brookstreet Hotel Corporation ("Brookstreet"), Kanata Research Park Corporation ("Kanata") and Thunderbolt Contracting Limited ("Thunderbolt") are being sued by Mrs. Janeen Finlayson who slipped and fell at the Brookstreet Hotel on December 29, 2012.
- [2] Brookstreet operates the hotel premise where Mrs. Finlayson fell and suffered an injury. Thunderbolt is a contractor. It was hired by Brookstreet to provide snow and ice removal services at the hotel premise operated by Brookstreet.
- [3] Brookstreet and Kanata are being represented by their liability insurer, Aviva Insurance Company of Canada ("Aviva"). Economical Mutual Insurance Company ("Economical") is Thunderbolt's liability insurer.
- [4] Brookstreet and Kanata bring an application seeking, *inter alia*, a declaration that Economical must defend the Applicants in relation to Mrs. Finlayson's action. They also seek a declaration that Brookstreet is entitled to choose an independent counsel to defend

it with respect to the action, with full costs to be paid by Economical and with no requirement of reporting.

- [5] Economical brings a “counter” Application, adding Aviva as a party and seeking equitable contribution and allocation should the main Application be allowed.

The Underlying Action

- [6] Mrs. Finlayson alleges in her Statement of Claim that all three defendants breached their obligations under the *Occupiers Liability Act*, R.S.O. c.O.2. She alleges that all three defendants acted negligently in many respects but essentially for failing to ensure that the pedestrian area where the fall occurred was kept free of ice. Brookstreet and Kanata deny negligence or breach of duty of care. They also cross-claim against Thunderbolt for contribution and indemnity and have also added a claim for breach of contract which relates to the issues in this Application. Thunderbolt denies liability in relation to Mrs. Finlayson’s claim and has raised a *Limitations Act* and laches defence in relation to the amended cross-claim.

Events Relating to this Application

- [7] On October 15, 2012, Brookstreet contracted with Thunderbolt for winter maintenance between November 1, 2012 and April 30, 2013 at the hotel premise. In accordance with the contract, which was drafted by Brookstreet, Thunderbolt was to obtain a Comprehensive or Commercial General Liability policy with a minimum of \$5,000,000 in coverage per occurrence. In addition, Thunderbolt was obligated to add Brookstreet as an Additional Insured to the policy. Lastly, Thunderbolt was required to provide proof that it had done so by October 31, 2012.
- [8] Thunderbolt obtained a policy of insurance from Economical. However, Brookstreet was never added as an Additional Insured on this policy.
- [9] On December 29, 2012, Mrs. Finlayson slipped and fell sustaining a serious hip injury.
- [10] On January 2, 2013, a representative of Brookstreet, Mr. Troy Hughes, gave notice of Mrs. Finlayson’s fall to Marsh Canada, the insurance broker responsible for Brookstreet’s insurance needs. Mr. Hughes believes that Aviva was put on notice shortly thereafter, as it conducted its own investigation. Aviva’s investigating adjuster, Mr. Mark Despatie, sent a letter to Thunderbolt on January 15, 2013, providing notice of the fall and suggesting that Thunderbolt report the claim to its insurer. On January 16, 2013, Mr. Despatie attended at the hotel premise to take photographs and statements from witnesses.
- [11] On November 20, 2014, Brookstreet and Kanata were served with the Statement of Claim. On February 4, 2015, Aviva Legal Services was retained to defend Brookstreet and Kanata and at that time they were provided with a copy of the contract between

Brookstreet and Thunderbolt. On February 9, 2015, Brookstreet and Kanata filed a Statement of Defence and cross-claim.

- [12] The issue of Thunderbolt's compliance with the insurance clauses of its contract with Brookstreet was first raised on March 9, 2016, when Brookstreet's lawyer asked questions at the examination for discovery of Thunderbolt's representative, Mr. Andy McNeeley. In response to a question asking whether Brookstreet was added as an Additional Insured pursuant to the contract, Thunderbolt's counsel replied, "I don't have that with me. Do you have that?" Counsel for Aviva replied, "My understanding is it was but you can confirm that later."
- [13] The first demand by the Applicants to Thunderbolt for indemnification and defence costs was made on November 22, 2016, almost four years after the slip and fall.
- [14] On January 9, 2017, counsel for Thunderbolt advised the Applicants that Thunderbolt had not added Brookstreet as an Additional Insured in accordance with the terms of the contract.
- [15] On February 2, 2017, the Applicants filed an Amended Statement of Defence and cross-claim, raising for the first time a claim of breach of contract against Thunderbolt.

Position of the Parties

- [16] The Applicants argue that this case surrounds the failure of Thunderbolt to honour its promise to add Brookstreet as an Additional Insured on its insurance policy. The implications of that failure are that Thunderbolt is liable for damages under breach of contract. These damages include the defence costs that would have been payable under the policy if Brookstreet had been added as an Additional Insured.
- [17] More particularly, the Applicants argue that the assessment of damages in the circumstances of this case must be undertaken in view of the duty to defend. In this regard, Brookstreet argues that if Thunderbolt had added Brookstreet to the insurance policy as required, it would have been Economical that had the duty to defend Brookstreet and not Aviva. In addition, given the potential conflict between the positions of Brookstreet and Thunderbolt, the duty to defend would have required independent counsel.
- [18] The Respondent Economical starts with the observation that there is no privity of contract between Brookstreet and Economical. Thunderbolt never honoured its obligation to extend its insurance coverage to Brookstreet. As a matter of contract, Economical has no relationship with Brookstreet and owes Brookstreet no duty to defend. At best, Brookstreet may have a claim against Thunderbolt for damages.
- [19] That said, Economical raises a more central concern and that is whether the claim by Brookstreet relating to the "failure to insure" - which was first made by way of an Amended Statement of Defence and cross-claim on February 2, 2017, is statute-barred. Economical draws a distinction between the service related indemnity claim that

Brookstreet raised against Thunderbolt in its original Statement of Defence and Cross-claim, the claim for breach of contract relating to failure to insure. Economical argues that Thunderbolt was in breach of the contract almost from the time the contract came into effect and certainly before Mrs. Finlayson was injured. Brookstreet could have and should have discovered and acted upon Thunderbolt's failure to insure. If Brookstreet was acting reasonably, it should have made this discovery no later than the date it, and its insurer Aviva, first learned of the fall and injury to Mrs. Finlayson.

- [20] Economical also argues that if the *Limitations Act* issue does not end the issue and it is required to fund the defence, the costs should be shared equitably between Economical and Aviva. Economical further argues that it should be permitted to retain and instruct counsel to represent Brookstreet in the absence of evidence of reasonable apprehension of conflicting interests. In this regard, Economical has brought a counter-Application that seeks a declaration granting a 0% contribution to the Applicant's defence costs, or in the alternative the granting of a fair share equitable contribution with Aviva.
- [21] The Respondent Thunderbolt also advances a *Limitations Act* argument and argues that Brookstreet knew of the claim in January 2013. It also knew of the terms of the contract with Thunderbolt. Notwithstanding this knowledge, Brookstreet did not act with due diligence in determining whether it had a claim against Thunderbolt for breach of contract.

Law and Analysis

- [22] It is important to focus precisely on what relief the Applicants seek. The Applicants are not seeking indemnification from Economical and Thunderbolt in relation to liability for the slip and fall. That is premature and will be dealt with in the underlying action. As well, the Applicants are not seeking past defence costs, though this was originally requested in their Application.
- [23] The Applicants are seeking a declaration that they are entitled to future defence costs, including costs relating to retaining independent counsel. They base this claim on a breach of contract, with damages determined by way of a duty to defend analysis. This is a claim that is squarely made against Thunderbolt, as it is the party that entered into the contract with Brookstreet. Interestingly, this Application was initially commenced against Economical alone. Thunderbolt was only added as a party to the Application on November 2, 2017, some two weeks before the scheduled hearing of the Application.
- [24] I fail to understand why the Application was commenced against Economical. There is no privity of contract between Economical and Brookstreet. This fact alone is likely fatal to the application as against Economical: see *Cadillac Fairview Corp. v. Jamesway Construction Ltd.*, 2011 ONSC 2633, at para. 17. I reject the argument that s. 132 of the *Insurance Act* assists the Applicants in this regard. This section grants a person who is owed damages in relation to an insured claim the right to commence an action against the insurer for the amount of judgment that is unsatisfied by the person found liable. This section has no application in the circumstances of this case. Similarly, I reject the

argument that since Economical has been providing *de facto* defence coverage to Thunderbolt, it is clear that Economical would cover any damages stemming from a finding of a breach of contract. On this issue, Brookstreet notes that Economical has not taken an off-coverage position due to the alleged breach by Thunderbolt of the service contract. As well, Brookstreet notes that Economical offered to co-fund Brookstreet's defence in advance of this Application. Even assuming that Brookstreet's position regarding Economical's willingness to cover Thunderbolt and co-fund Brookstreet is correct, it does not change the fact that as a matter of law Economical is a stranger to the contract and consequently, the breach of contract.

- [25] I turn next to the breach of contract claim against Thunderbolt. In *Papapetrou v. 1054422 Ontario Limited et al.*, 2012 ONCA 506, the Court of Appeal dealt with a similar factual scenario. Ms. Papapetrou slipped and fell on black ice that had accumulated on the stairs of a building owned by the numbered defendant and managed by The Cora Group Inc. The Cora Group Inc. had contracted Collingwood Landscape Inc. to provide winter maintenance. In the contract, Collingwood promised to name The Cora Group as an additional insured. It failed to do so.
- [26] The motions judge ordered Collingwood to assume the defence of The Cora Group in the personal injury action and to indemnify The Cora Group for any damages. On appeal, it was conceded that the order for indemnification was premature.
- [27] In relation to the duty to defend argument, at paras. 33-41 the Court of Appeal, per Simmons J.A., offered the following instruction:

On appeal, The Cora Group did not argue that Collingwood's obligation to defend arises out of the indemnification provision in the service contract. Rather, it relied on Collingwood's failure to satisfy its contractual obligation to have The Cora Group named as an additional insured in its comprehensive general insurance policy.

However, Collingwood's breach of this contractual obligation does not create a duty to defend; rather, it gives rise to a remedy in damages.

The fact that The Cora Group did not object to the form of insurance Collingwood obtained is irrelevant. Collingwood's contractual obligation remained. Collingwood is liable to The Cora Group in damages for failing to satisfy its duty to have The Cora Group named as an additional insured.

The quantum of such damages is the amount The Cora Group will be required to pay for a defence of the claims Collingwood's insurer would have been obliged to defend on The Cora Group's behalf had Collingwood fulfilled its contractual obligations.

Ordinarily, the scope of this obligation would be determined by the terms of the insurance contract (in particular, the additional insured endorsement). The difficulty in this case is that the terms of coverage for The Cora Group as an

additional insured were not included in the insurance contract. Accordingly, the terms of the intended insurance coverage must be discerned from the insurance obligation and the indemnity provision in the service contract.

As noted above, Collingwood was obliged to obtain comprehensive general liability insurance to insure against bodily injury. However, the scope of Collingwood's obligation to indemnify under the service contract was limited to "claims . . . based upon, incidental to or arising out of the performance or non-performance of the contract by the Contractor".

Accordingly, in my view, the quantum of damages is the amount The Cora Group must pay to defend claims for bodily injury arising out of the manner in which Collingwood performed or failed to perform the service contract.

As I have said, in my opinion, these costs will include all costs of The Cora Group's defence of the Papapetrou action, save for any costs incurred exclusively to defend claims that do not arise from Collingwood's performance or non-performance of the service contract.

- [28] Properly viewed, the issue in this case is the damages that flow from Thunderbolt's breach of contract. Indeed, there appears to be no issue that Thunderbolt did, in fact, breach the terms of its contract. The measure of damages is the amount that Brookstreet would have to pay to defend the claim for injury arising out of the manner of Thunderbolt's performance or non-performance. This cost can be ascertained by engaging in a duty to defend analysis: see *Amello v. Bluewave Energy Limited*, 2014 ONSC 4040, at paras. 68-72. That said, before engaging in the duty to defend analysis, a threshold *Limitations Act* issue must first be determined.
- [29] The breach of contract allegation was first raised by the Applicants in their Amended Statement of Defence and Cross-claim, which was filed on February 2, 2017. This Application was commenced on May 24, 2017.
- [30] Both Economical and Thunderbolt raise a *Limitations Act* issue and argue that Brookstreet should have been aware of the breach of contract by Thunderbolt as early as November 1, 2012, but certainly no later than January 15, 2013. As such, any claim based on Thunderbolt's breach of contract is well out of time. Economical and Thunderbolt are careful to point out that the *Limitations Act* issue here relates only to the "failure to insure" claim and not for any service related indemnity which is the subject of the cross-claim in the underlying action. The limitation periods for a service related indemnity claim are subject to the provisions of s.18 of the *Limitations Act*, 2002, which creates special rules for claims of contribution and indemnity: see *Miaskowski (Litigation Guardian of) v. Persaud*, 2015 ONSC 1654, at paras. 80-88. In this regard, the operative limitation period start date would be the date on which Brookstreet was served with the Statement of Claim on November 20, 2014.

- [31] In response to the *Limitations Act* issue, Brookstreet raises a number of arguments. First, in its factum, Brookstreet argues that there is no limitation period in this case because what is being sought is simply a declaration with no consequential relief and, as such, s. 16(1)(a) of the *Limitations Act* applies. This issue was not pressed in oral argument. In my view, it has no merit. There is consequential relief that is being sought and that is an entitlement to damages relating to a breach of contract. This is not an application seeking simply a declaration with no consequential relief: see *McMurtry v. McMurtry*, 2016 ONSC 2853, at paras. 141-143. I also note that there was some suggestion that the claim in this Application was effectively a claim for contribution and indemnity. Even if it could be so categorized, s. 18 of the *Limitations Act* would not assist as the claim would have to have been commenced no later than November 20, 2016.
- [32] Brookstreet next argues that the claim was not discoverable at any time prior to January 9, 2017, the date on which Thunderbolt's counsel advised that Brookstreet had not been added as an Additional Insured. Brookstreet argues that the following alternate dates fail to satisfy the discoverability test set out in s. 5 of the *Limitations Act*:
- a. January 15 or 16, 2013. This is when the loss was first investigated by Mr. Despatie on behalf of Aviva. In this regard, Brookstreet argues that it was not provided with a Certificate of Insurance of Economical, nor was there any suggestion that Thunderbolt had failed to comply with its contractual obligations. In addition, Brookstreet argues that it would be unfair to use this date for two reasons. First, the underlying lawsuit was subject to a two-year limitation that started to run on December 29, 2012. If the plaintiff had issued a statement of claim towards the end of her limitation period, she would have had six months within which to serve it. It was therefore possible that Brookstreet could be served with the statement of claim more than two years after January 15 or 16, 2013, and as a result would have been unfairly deprived of the ability to claim against Thunderbolt. Secondly, until Brookstreet was sued and started to incur defence costs, there were no damages it could seek from Thunderbolt for the breach of contract. On this issue, I note that the statement of claim was served on Brookstreet on November 20, 2014, and as such even assuming this is the date that could be used, the Applicants are still out of time.
 - b. March 9, 2016. This is the examination for discovery of Thunderbolt's representative, Mr. McNeeley. Brookstreet alleges that Thunderbolt's counsel failed to correct Aviva counsel's mistaken assumption that Brookstreet had been added as an Additional Party. The transcript of this portion of the examination for discovery must be read in context. Mr. Greco, counsel for Aviva, asks whether Brookstreet was added as an Additional Party pursuant to the contract. Ms. Chadwick, counsel for Thunderbolt, replies "I don't have that with me. Do you have that?" Mr. Greco then states, "My understanding is it was but you can confirm that later." The examination then continues. Brookstreet argues that Mr. Greco exercised all reasonable diligence in the circumstances and reasonably relied upon the answer given by counsel Ms. Chadwick.

- c. November 2016. This is the date when counsel for Aviva, Mr. Greco, advised that he was commencing proceedings with respect to the defence and indemnity obligations of Thunderbolt. However, counsel for Thunderbolt did not at this time offer an unequivocal denial of coverage.

- [33] Brookstreet argues that in order for the limitation period to run with respect to a claim for defence and indemnity by an additional insured, there must be a clear and unequivocal denial of coverage. This did not occur until January 9, 2017, when Ms. Chadwick advised Mr. Greco that Thunderbolt had not named Brookstreet as an Additional Insured.
- [34] In this regard, Brookstreet points to *Georgian Downs Ltd. v. State Farm Fire and Casualty*, 2013 ONSC 2110, at paras. 8-18 and *Dundas v. Zurich Canada*, 2012 ONCA 181, at paras. 38-39 for support. These two decisions suggest that where obligations to indemnify and defend are concerned an important policy consideration is certainty, which is best served by fixing a date that is readily ascertainable as opposed to being dependant on subjective questions of discoverability.
- [35] In my view, neither of these authorities assist Brookstreet. In *Georgian Downs*, the plaintiff had been added as an Additional Insured under the policy of the North-Gate Contractors. State Farm was North-Gate's insurer and it settled the action based on North-Gate's admission of liability. Georgian Downs then sought reimbursement for the defence costs it incurred. State Farm declined to pay those costs, arguing that it had no general duty to defend Georgian Downs outside the coverage provided to North-Gate. State Farm also raised a *Limitations Act* issue, arguing that the claim for defence costs arose more than two years after the slip and fall that had occurred in that case, or in the alternative on the date when it sent a letter to Georgian Downs denying defence costs. The Court concluded that the letter in question did not contain a clear and unequivocal denial of defence costs. The Court further concluded, relying on *Dundas v. Zurich*, a case which dealt with a duty to indemnify, that the operative date for the limitation period would be the date of the judgment or settlement.
- [36] These two decisions deal with a duty to defend and a duty to indemnify. In this case, the duty to defend is not in issue. Brookstreet was never added as an additional insured and therefore Economical is not required to defend it. The duty to defend arises only in the context of assessing the damages that Thunderbolt occasioned by virtue of its failure to add Brookstreet as an Additional Party. Similarly, the duty to indemnify is not at issue in this case. Indemnification has been raised in the cross-claim as part of the underlying action. Indemnification will only arise if liability is established in that action.
- [37] The issue here is the discoverability of Thunderbolt's failure to add Brookstreet to its insurance policy. It is not about whether there was a clear and unequivocal denial of a duty to defend or indemnify.
- [38] In terms of the examination for discovery in March 2016, when the brief passage is read in context, it strikes me that Mr. Greco was operating under the misapprehension that Brookstreet had been added as an Additional Insured. That said, he was not misled by

Ms. Chadwick. Her response was that she did not know. Mr. Greco then replied that he believed it had been done and he asked her to advise later. He then moved on with his examination. I do not read his comment as being based on her initial answer that Thunderbolt had complied with its insurance obligations under the contract. If that had been the case, there would have been no need for the follow-up questions which examined each aspect of the insurance obligations. In any event, nothing prevented Mr. Greco or anyone else at Brookstreet from following up on this issue and no follow up occurred until November, 2016.

What is the Proper Date of Discoverability?

[39] Section 5 of the *Limitations Act* sets out the manner of determining the date on which a claim is discovered. Section 5(1) sets out certain events, the knowledge of which determines the discoverability date. Section 5(2) imposes a presumption of knowledge and imposes a burden of proof onto the plaintiff: *Nicholson v. MacDougall*, 2017 ONSC 7000, at paras. 28 and 29, and *Miaskowski (Litigation Guardian of) v. Persaud*, 2015 ONSC 1654, aff'd in part 2015 ONCA 758.

[40] In *Lawless v. Anderson*, 2011 ONCA 102, the Ontario Court of Appeal stated at paras. 22-23:

The principle of discoverability provides that “a cause of action arises for the purposes of a limitation period when the material facts on which it is based have been discovered, or ought to have been discovered, by the plaintiff by the exercise of reasonable diligence.

Determining whether a person has discovered a claim is a fact-based analysis. The question to be posed is whether the prospective plaintiff knows enough facts on which to base an allegation of negligence against the defendant. If the plaintiff does, then the claim has been “discovered”, and the limitation period begins to run: see *Soper v. Southcott* (1998), 1998 CanLII 5359 (ON CA), 39 O.R. (3d) 737 (C.A.) and *McSween v. Louis* (2000), 2000 CanLII 5744 (ON CA), 132 O.A.C. 304 (C.A.).

[41] Where a *Limitations Act* issue is raised, the onus is on the plaintiff to show that its claim is not statute-barred and that it acted reasonably in discovering the facts that relate to the limitations issue. As the Court of Appeal notes in *Longo v. MacLaren Art Centre*, 2014 ONCA 526, at para. 42:

A plaintiff is required to act with due diligence in determining if he has a claim. A limitation period will not be tolled while a plaintiff sits idle and takes no steps to investigate the matters referred to in s. 5(1)(a).

[42] Brookstreet knew of the contract it had with Thunderbolt. Indeed, on the evidence before me, it prepared the contract. Clause 4 of the Contract imposed the insurance obligation on

Thunderbolt. That obligation also required Thunderbolt to provide proof of insurance to Brookstreet prior to the commencement of the term of the contract on November 1, 2012. Presumably, this provision was in place so that Brookstreet could readily confirm that Thunderbolt had fulfilled its contractual obligation in relation to insurance. In fact, the contract also required that any cancellation of insurance by the insurer had to be on 30 days prior written notice, with the notice copied to Brookstreet.

- [43] On November 1, 2012, or shortly thereafter, Brookstreet would have been aware of, at a minimum, Thunderbolt's failure to provide proof of insurance as required by the contract. In a perfect world, this should have triggered an inquiry by Brookstreet and it could have discovered the failure to obtain the required coverage. Alas, the world is imperfect and the standard is not one of perfection but rather reasonableness.
- [44] The accident occurred on December 29, 2012. On or about January 2, 2013, a representative of Brookstreet, Mr. Hughes, reported the incident to its insurance broker, Marsh Canada. At some point thereafter Brookstreet's insurer, Aviva, learned of the claim and on January 15, 2013, Aviva sent a letter to Thunderbolt indicating that it was investigating the accident. The letter suggests that Thunderbolt report the claim to its insurers.
- [45] It would seem logical and reasonable that once Brookstreet learned of a potential claim relating to a slip and fall on the property that potentially related to services provided by Thunderbolt, it would have made inquiries regarding the nature and scope of its insurance coverage promised under the contract of service. There is no doubt that by January 15 or 16, 2013, Aviva was aware that the claim potentially involved Thunderbolt as it wrote to Thunderbolt and suggested that Thunderbolt contact its insurer. The only reasonable inference is that by January 15 or 16, 2013, Brookstreet also knew that the claim potentially also involved Thunderbolt.
- [46] I conclude that any reasonable party, standing in Brookstreet's position, would have made an inquiry into its status as an Additional Insured under Thunderbolt's insurance policy on or about January 15 or 16, 2013, or soon thereafter. Had such an inquiry been made, Brookstreet would have learned of Thunderbolt's failure to add it as an Additional Insured at that time.
- [47] There is no evidence that Brookstreet made any inquiries regarding its status as an Additional Insured at this time. Its failure to make these inquiries in a timely fashion does not result in a situation where the claim for breach of contract was not reasonably discoverable. It was. The reality is that no one turned their mind to the insurance requirements of the contract until March 2016 at the earliest, and then again in correspondence in November of 2016.
- [48] I reject the argument that this creates an unfairness because the plaintiff in the underlying action could have waited up to two years to issue her action, and then a further six months to serve it. Brookstreet knew that the slip and fall had occurred and its insurer was investigating the claim as of mid-January 2013. Nothing prevented it from assessing

the scope of its insurance coverage at that time. This argument also confuses the causes of action. The breach of contract claim is not a claim for contribution and indemnity. The claim for contribution and indemnity in relation to liability has been advanced in the cross-claim on the underlying action, and the limitation period for that claim is addressed by s. 18 of the *Limitations Act*.

- [49] I therefore conclude that the claim for breach of contract was discoverable on January 15 or 16, 2013, or soon thereafter. Even if a reasonable period of time is allotted for making inquiries in relation to the insurance coverage, the date might extend as late as February. Either way, this Application is statute-barred.
- [50] In view of this finding, I need not address the duty to defend analysis. I also decline to address the cross-Application. In view of my finding on the main Application, it serves no purpose to make a declaration that Brookstreet is entitled to 0% contribution from Economical.
- [51] The Application is dismissed. The cross-Application is also dismissed.
- [52] If the parties cannot agree on costs, the Respondents are to serve and file their submissions on costs within fifteen days of the date of this decision, and the Applicants will have fifteen days thereafter to serve and file their submissions. The submissions are to be no more than three pages, double spaced, exclusive of any cost outline, case law and offers to settle. Submissions are to be filed with the Court. If no submissions are received within the time period set out herein, an order will be made that there will be no costs.

Justice J. Di Luca

Date: January 10, 2018

CORRIGENDA

1. Style of Cause - Economical Mutual Insurance has been corrected to read Economical Mutual Insurance Company.
2. Paragraph [14] - January 10, 2017 has been corrected to read January 9, 2017.
3. Paragraph [19], 5th line - Statement of Defence and Counterclaim has been corrected to read Statement of Defence and Cross-claim.
4. Paragraph [27], 1st line - “at paras. 31-41” has been added.
5. Paragraph [29], 2nd line - Statement of Defence and Counterclaim has been corrected to read Statement of Defence and Cross-claim.
6. Paragraph [31], 2nd line - ...“in its Factum, Thunderbolt argues...” has been changed to read ...“in its Factum, Brookstreet argues...”
7. Paragraph [48], 4th line - mid-January 2016 has been changed to read mid-January 2013.